GRADE 12 / Economics / English

Interpret the multiplier

01 Understand

Learning goals: Calculate marginal propensity to consume • Use a simple multiplier • Explain model assumptions

The marginal propensity to consume (MPC) is the share of additional income spent on consumption. In the simple model MPS = 1 − MPC.

The simple closed-economy multiplier is k = 1/(1 − MPC). An initial autonomous expenditure change has a modelled total income effect ΔY = kΔA.

This is a simplified model without taxes or imports and with capacity to expand output. It does not promise that any real policy achieves the calculated result.

An initial R100 spending injection with MPC = 0.8

Round	Additional spending	Cumulative spending
1	R100	R100
2	R80	R180
3	R64	R244
All rounds	decreasing amounts	approaches R500

02 Follow the reasoning

MPC is 0.8 and autonomous investment increases by R20 million. Calculate the simple income effect.

1. MPS = 1 − 0.8 = 0.2.

2. k = 1/0.2 = 5. Therefore ΔY = 5 × R20 million = R100 million.

3. The result includes the original injection and later spending rounds; it is conditional on the model assumptions.

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Practise with purpose

03 Try before checking

Use paper or your notebook. Show your reasoning. For written responses, use evidence and explain your choices. Suggested time: 15–20 minutes.

1. Calculate k when MPC = 0.75.

2. Calculate the effect of a R10 million injection using that k.

3. How would additional import leakages tend to affect the multiplier?

04 Check and correct

1. $k = 1/(1 - 0.75) = 4$.

2. $\Delta Y = 4 \times 10 = R40$ million.

3. They tend to reduce the domestic income multiplier because some spending goes abroad.

Common mistake to avoid

The multiplier is not MPC itself, and the total effect must not be added to the initial injection a second time.

Reflect and revisit

Identify one correction in your own words. Attempt a similar question tomorrow without looking at the guide. If you are still unsure, take your attempt to a teacher or tutor.

Coverage and sources

CAPS topic focus: Macroeconomics: circular flow; the multiplier

DBE CAPS, Grades 10–12: Economics. Section 3 content and skills. This is a focused supplement, not a complete syllabus or prescribed literature replacement.

Open the official DBE curriculum reference

Content and visuals: original SmartBridge FET. AI-assisted authoring; subject-teacher and language-specialist review pending. Report an issue with the pack ID eco-12.